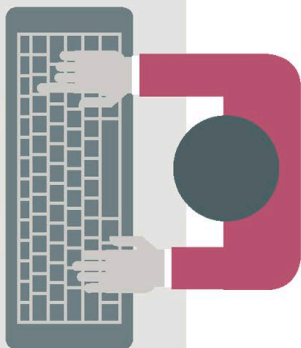




Corporate advising

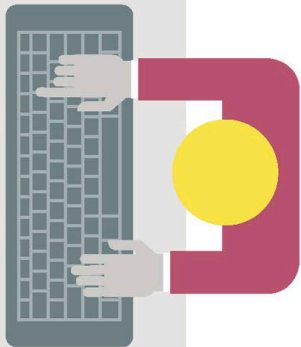
Bringing companies to market

Investment banks can raise funds for new issues, underwriting Initial Public Offerings (IPOs) in exchange for a cut of the funds they raised.



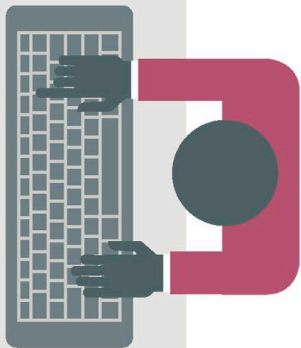
Bringing companies together

Banks facilitate mergers and acquisitions (M&A) by advising on the value of companies, the best way to proceed, and how to raise capital.



Structuring products

Clients who want to sell a financial product to the public may bring in an investment bank to design it and target the retail or commercial banking market.



NEED TO KNOW

- › **Initial Public Offering (IPO)** When a private company first issues shares to investors and becomes a public limited company.
- › **Underwriting** The covering of a potential risk—in return for a fee or percentage.
- › **Guarantees** The commitment that, in a new share issue, shares will be sold for a minimum price. If the new issue is not popular, the bank may be left holding the shares on its books and may have to sell them at a loss in the future; if the new shares are in demand and the open market price rises above the issue price, the bank will make a profit.

HOW BANKS MAKE AND LOSE MONEY

Making money



- › Banks receive fees in return for providing advice, underwriting services, loans and guarantees, brokerage services, and research and analysis.
- › They also receive dividends from investments they hold, interest from loans, and charge a margin on financial transactions they facilitate.

Losing money



- › The advising division may end up holding unwanted shares if the take-up of an IPO is lower than expected.
- › The trading division of a bank may make the wrong decisions and end up losing the bank money.
- › In a year of little corporate activity, banks may have to rely on trading profits to bolster their returns.
- › Banks may create financial products which they fail to sell on to other investors, leaving them holding loss-making securities or loans—as in the run-up to the 2007–2008 financial crisis.